UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	RM26-4-000

INITIAL COMMENTS OF
THE OKLAHOMA CORPORATION COMMISSION
AND ATTORNEY GENERAL OF THE STATE OF OKLAHOMA

On October 23, 2025, pursuant to Section 403 of the Department of Energy ("DOE") Organization Act, the Secretary of Energy ("Secretary") issued a directive to the Federal Energy Regulatory Commission ("FERC") to initiate an advanced notice of proposed rulemaking ("ANOPR") for consideration and final action. The ANOPR focuses on reforms to the interconnection processes for large loads connecting to the transmission system. FERC subsequently issued a Notice Inviting Comments on October 27, 2025. On November 7, 2025, the deadline to submit comments was extended from November 14, 2025, to November 21, 2025.

I. Service and Communication

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II. Background

The Oklahoma Corporation Commission ("OCC") is a "state commission" as defined in Section 1.101(k) of the FERC's Rules of General Applicability.[1] The Oklahoma Constitution authorizes the OCC to regulate transmission and transportation companies and ensure that rates are just and reasonable.[2] The OCC's scope has been further defined by statute to supervise public utilities and grants it the power to establish rates, rules, requirements, and regulations.[3] Oklahoma has retained a vertically integrated regulatory structure, and the OCC has approved all three (3) rate-regulated electric utilities under its jurisdiction to be members of Regional Transmission Organizations ("RTOs"), specifically the Southwest Power Pool, Inc. ("SPP"):

- Oklahoma Gas and Electric Company ("OG&E"), a subsidiary of OGE Energy Corp., serves Oklahoma City and large portions of central and southeastern Oklahoma.
- Public Service Company of Oklahoma ("PSO"), a subsidiary of American Electric Power Company, serves Tulsa and large portions of northeastern and southwestern Oklahoma.
- The Empire District Electric Co. d/b/a Liberty serves the northwestern corner of Oklahoma.

Additionally, the OCC exercises some regulatory authority over Oklahoma's many electric cooperatives. The OCC appreciates the opportunity to comment on the ANOPR.

The Attorney General of the State of Oklahoma ("Attorney General"), by statute, is Oklahoma's consumer advocate and embraces the opportunity "[t]o represent and protect the collective interests of all utility consumers of this state in rate-related proceedings before the Corporation Commission or in any other state or federal judicial or administrative proceeding." [4]

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[1] 18 C.F.R. § 1.101(k).
[2] OKLA CONST. art. IX, Sec. 18.
[3] Title 17 O.S. § 152(A).
[4] 74 O.S. § 18b(A)(21) (2025).

III. Summary of Comments

The OCC and Attorney General appreciate the Secretary's commitment to ensuring that large loads can interconnect to the transmission system in a timely, orderly, and nondiscriminatory manner. Large-load interconnection is both a transmission and a generation issue, and addressing it effectively requires coordination across both domains. The OCC and Attorney General also recognize and support the broader national priority, shared by the Secretary and FERC, of enabling rapid data-center deployment to maintain U.S. leadership in artificial intelligence and related technologies.

At the same time, the OCC and Attorney General agree that the integration of very large loads must not compromise affordable, reliable, and secure electric service for households, businesses, and domestic industries.[5] Oklahoma has already taken meaningful action in this area, and federal intervention must take into account the complex legal, jurisdictional, and technical landscape that governs load interconnection.

Accordingly, FERC should narrowly tailor its final rule to align with established legal precedent and the evidentiary record. FERC should adopt a cooperative, state-respecting framework that adheres to cost-causation principles, ensures that large-load interconnections may connect to the grid quickly while safeguarding the reliability of the bulk electric system. Such an approach will enable efficient interconnection while maintaining fairness and protecting system integrity.

[5] Secretary of Energy Letter, pg 1.

IV. Comments of the OCC and Attorney General

A. The State of Oklahoma is responding to growing demand from large loads.

The OCC and Attorney General agree with the Secretary that large loads must be able to interconnect to the electric system in a timely, orderly and efficient manner. Large loads capable of self-generation, and those capable of curtailment during times of peak demand, should be able to interconnect more quickly. At the same time, regulators must protect other customers' rights to safe and adequate electric service at just and reasonable rates.[6] The State of Oklahoma has responded to these imperatives through multiple methods.

i. The OCC Requires Integrated Resource Planning

Every three years, the OCC requires each regulated electric utility to prepare a comprehensive Integrated Resource Plan ("IRP").[7] Utilities often update these plans more frequently as system conditions and projected demand evolve. Resource planning is a complex undertaking that shapes decisions accounting for a substantial share of long-term electricity costs, including investments in generation and transmission assets, power and fuel procurement, strategies to mitigate price volatility, and energy-efficiency initiatives.

Given the magnitude of these decisions, the OCC has determined that regular review of utility resource plans is essential to protect retail ratepayers and ensure utilities make prudent, well-supported investments. The goal is to promote resource planning that is reasonable, forward-looking, and aligned with providing power at costs that are fair, just, and reasonable.

The IRP process includes stakeholder engagement, public meetings, and opportunities for public comment. Although the OCC does not formally adopt or approve a utility's IRP, each plan

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[6] Secretary of Energy Letter pg. 1.
[7] OAC 165:35, Subchapter 37.

is subject to thorough review and ongoing oversight. The OCC designed this process to remain flexible, enabling utilities to respond efficiently to changing conditions and anticipated demand.

ii. All-Source Requests for Proposals

In 2024, the OCC amended its Electric Utility Rules to require electric utilities to employ all-source Requests for Proposals ("RFPs") when seeking to build new generation or procure power.[8, 9] This requirement ensures that utilities evaluate the full spectrum of potential solutions—conventional generation, renewable resources, storage, demand-side resources, and power purchases—on an even playing field. All-source RFPs are widely recognized as a best practice because they foster genuine competition among diverse technologies and suppliers, enabling utilities to identify the most cost-effective, reliable, and innovative options available.

Competitive bidding also provides transparency and discipline in procurement decisions, reducing the risk of utilities defaulting to self-build projects or limited vendor pools without clear justification. By compelling utilities to consider all viable alternatives and to document the comparative value of each proposal, the OCC strengthens its oversight and enhances accountability.

Ultimately, requiring robust, competitive procurement processes helps the OCC fulfill its constitutional duty to ensure that electricity rates remain fair, just, and reasonable for the state's retail customers.

iii. Preapproval of Generation Projects

Under traditional utility regulation, the utility must demonstrate that the project is used and useful and is prudent before costs may be recovered by ratepayers. In 2005, the Oklahoma

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[8] OAC 165:35, Subchapter 34.
[9] OAC 165:35-34-1(d) excludes electric utilities "with no generation plant within the boundaries of Oklahoma and less than ten percent of its customers within the state."

Legislature enacted 17 O.S. § 286(C), which established a process for utilities to seek preapproval to build or purchase existing generation, if a need exists and reasonable alternatives were considered. If this burden is met, the project is deemed used and useful, the OCC may consider cost recovery prior to a full rate case, such as through a rider. These cases must be reviewed within 240 days.

In 2025, the Oklahoma Legislature amended 17 O.S. § 286(C) by requiring the OCC grant construction work in progress ("CWIP") recovery and shortened the review timeline to 180 days if natural gas is the primary fuel source.[10] It is alleged that CWIP recovery will allow utilities to finance and construct generation more quickly than through the traditional allowance of funds used during construction ("AFUDC") method.

iv. Behind the Meter Legislation

Electricity customers in Oklahoma have long been able to self-generate power for their own use when operating independently from the broader electric grid. Although this practice had historically proceeded without statutory prohibition, Oklahoma law did not expressly address it. In 2025, the Oklahoma Legislature formally codified this right, clarifying that customers may self-generate electricity when natural gas is part of their generation capacity.[11]

This explicit authorization provides needed certainty to customers, particularly businesses and critical infrastructure operators, who rely on self-generation to enhance reliability, manage energy costs, and ensure operational continuity during grid outages or periods of high demand. By clearly establishing the legal framework, the Legislature has reduced regulatory ambiguity, enabling customers who choose to self-generate to design, invest in, and deploy their systems more quickly and confidently.

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[10] Senate Bill 998 (2025).
[11] 17 O.S. § 151(B).

v. Large Load Tariff

The OCC is beginning to evaluate the need for dedicated large-load tariffs as utilities experience unprecedented growth in exceptionally large customer loads. Historically, a utility's largest customer might have had a peak demand of 75–100 MW. Today, utilities serve multiple customers exceeding 100 MW, and several prospective customers are requesting more than 1 GW of power, orders of magnitude larger than what utilities previously planned for. This rapid escalation in scale presents new challenges for system planning, cost allocation, and long-term reliability.

In response, the OCC recently directed OG&E to seek approval of a large-load tariff by July 1, 2026.[12] During that proceeding, parties identified several reasons why a dedicated tariff structure is beneficial. First, a large-load tariff allows rates to be developed using cost allocations tailored specifically to these extraordinary load levels, rather than grouping them with traditional industrial customers whose usage profiles are dramatically smaller for individual facilities. This ensures that rates more accurately reflect the actual cost of serving these customers.

Second, very large-load customers often have unique operational characteristics, such as high load factors, 24/7 operations, or specialized reliability requirements, as well as distinct expectations about contract length and service terms. A dedicated tariff provides a framework flexible enough to address these needs while maintaining system-wide fairness.

Third, serving extremely large loads requires substantial capital investment in generation, transmission, and distribution infrastructure. A purpose-built tariff enables utilities to implement appropriate customer and system protections, including minimum bills, upfront contributions,

[12] Case No. PUD2025-000038, Order No. 753440, ¶ 80.

long-term service agreements, and other safeguards that ensure the costs and risks associated with serving these loads are properly managed.

As part of this evaluation, the OCC may also consider how curtailable or flexible loads can be incorporated into large-load tariffs. Curtailable customers, or those willing to reduce consumption in response to system conditions or price signals, can provide significant operational benefits by easing peak demand pressures, enhancing grid reliability, and reducing the need for costly new infrastructure. Recognizing this value within the tariff structure could appropriately compensate participating customers while lowering costs for the system as a whole.

As Oklahoma continues to attract energy-intensive industries, large-load tariffs, potentially including provisions tailored to curtailable loads, are becoming an essential regulatory tool to facilitate economic development while preserving reliability and protecting existing customers from inappropriate cost shifts.

vi. Transmission Certificate of Authority

In 2025, the Oklahoma Legislature granted the OCC authority to review certain transmission projects and issue a certificate of authority within 200 days.[13] Before this legislation, the OCC had no role in evaluating or approving transmission construction. Under the new framework, the OCC conducts a thorough public-interest review for each project, verifies that proper public notice has been provided, and examines relevant financial and technical documentation.

It is important to note that the OCC's authority does not extend to siting or eminent domain decisions; those responsibilities remain with local cities and counties. Even so, this legislation enhances statewide coordination and oversight, offering a more efficient, consistent process for

[13] 17 O.S. §§ 850-851.

advancing transmission development. By introducing a streamlined review timeline while maintaining rigorous scrutiny, the law has the potential to accelerate the construction of critical transmission infrastructure and support Oklahoma's growing energy needs.

B. The SPP is responding to growing demand from large loads.

In October 2025, SPP filed tariff revisions to address the interconnection of High Impact Large Loads ("HILLs") and the generation resources built specifically to serve them.[14] The proposal establishes new processes to study the system impacts of these exceptionally large loads and to maintain reliable transmission system operations.[15] Importantly, the framework is designed to manage necessary system additions while respecting state jurisdiction. FERC should look to these cooperative, state-aligned structures as models for future policy development.

Two related initiatives are currently moving through the SPP stakeholder process. First, the Conditional HILL ("CHILL") transmission service option would allow a portion of a HILL to take long-term, curtailable transmission service with a commitment to eventually convert to firm service. This "supplemental service" is intended to provide flexibility for large loads entering the system while ensuring reliability is preserved. Second, the Price Adaptive Load ("PAL") concept would be available to any load—large or small—that is willing to reduce consumption based on real-time price signals. PAL is designed to enhance system flexibility and support reliability during periods of tight supply.

FERC recently approved SPP's Expedited Resource Adequacy Study ("ERAS"), a special one-time process created to accelerate the interconnection of new resources needed to meet emerging reliability challenges. ERAS responds to growing load forecasts, generator retirements, and congestion in the generator interconnection ("GI") queue. It requires approval from the

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[14] FERC Docket No. ER26-247.

[15] *Id.* Transmittal Letter, pg. 4.

Regional State Committee and will be conducted outside the standard GI queue on an accelerated timeline of three to six months.

SPP has also adopted a new Provisional Load Process, which allows transmission customers to serve added load using planned generation resources. Under the existing framework, customers could rely only on designated, already-online generation. The provisional approach provides more flexibility and better aligns resource development with evolving load needs.

In addition, SPP has approved the Consolidated Planning Process ("CPP") and is now working toward implementation. Currently, generation interconnection and regional transmission planning occur through separate processes, which can create delays, duplicative efforts, and missed opportunities to optimize infrastructure investments. The CPP will integrate the GI and Integrated Transmission Planning ("ITP") functions into a unified process, helping ensure that needed transmission upgrades are identified and built at the right time, with costs allocated based on demonstrated benefits.

Together, these initiatives represent significant progress toward improving regional planning, accommodating unprecedented load growth, and ensuring the SPP system continues to operate reliably and efficiently.

V. Conclusion

The OCC and Attorney General agree with the Secretary that the interconnection of large loads represents one of the most significant challenges to the electric grid in recent history. Although national in scope, the issue is rooted in local conditions and governed by a well-established division of authority under the Federal Power Act. Any effective and timely solution must respect this jurisdictional framework and preserve the traditional roles of both federal and state regulators. As FERC develops its final rule, it should view the states as essential partners in ensuring that large-load interconnections are achieved efficiently, reliably, and in the public interest. The OCC and Attorney General respectfully submit these comments for FERC's consideration.

Respectfully submitted by a vote of the OCC on the 20th day of November 2025.

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KIM DAVID, Chairman

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J. TODD HIETT, Commissioner

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BRIAN BINGMAN, Commissioner

Respectfully submitted by the Attorney General,

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GENTNER DRUMMOND, Attorney General